



78 |

## **BANKS ARE INCREASINGLY BECOMING RETAIL ORIENTED WITH CORPORATE CREDIT SHIFTING TO LARGE WELL-RUN BANKS, ESPECIALLY PSBs**

profit skyrocket 2,705% to ₹772 crore. Multi Commodity Exchange of India profits rose 574% to ₹560 crore. Punjab National Bank, with a large base, saw its profits jump 109% to ₹17,440 crore. Yes Bank, which is recovering from past troubles, reported a 90% increase in net profit to ₹2,447 crore, driven by lower provisioning for bad loans, higher fee income, and improved asset quality.

In contrast, some players disappointed the market. IDFC First Bank's net profit dropped 49% to ₹1,490 crore, primarily due to elevated provisioning and slippages in the microfinance portfolio. Manapuram Finance reported a 45% decline to ₹1,204 crore, while Ujjivan Small Finance Bank's profits fell 43% to ₹726 crore.

However, of late, banking stocks have been underperforming. The reason? FY25 has been a challenging year marked by multiple headwinds—slowing credit growth, continuing pressure on deposit mobilisation, margin compression, and higher credit costs in segments such as microfinance and unsecured loans. “These factors have contributed to the underperformance,” says Palviya of Axis Securities.

### **THE NBFC SECTOR**

Over the years, non-banking financial companies, or NBFCs, have grown significantly in scale and emerged stronger despite macro uncertainty, funding pressures, and asset quality challenges. Pinank Shah, CEO, Capital India Finance, says the sector is entering a more grounded, asset-backed growth phase, anchored by a decisive pivot to secured lending.

The NBFC sector is closely linked to banking, from where it gets the bulk of funding. With the RBI increasing rates, the sector's funding cost is likely to go up. “The sector is likely to see a flurry of equity raising,” says an August note by Moody's Rating.

Shalya Gupta, CEO, Credifin, says the RBI's final co-lending framework, effective January 1, 2026, brings critical clarity for NBFCs. Under this, lenders must retain at least 10% of each loan, disclose roles transparently, and adopt borrower-level asset classification: meaning, a default flagged by one lender applies to the co-lenders too.

### **THE WAY FORWARD**

Bank credit grew just 12% in FY25. “While it is slower than the 16.3% in FY24, it is higher than the average growth rate of 10.3% recorded in the ten-year period preceding FY25,” RBI Governor Sanjay Malhotra said recently. He also explained that while non-food bank credit during FY25 reduced by about ₹3.4 lakh crore from ₹21.4 lakh crore to almost ₹18 lakh crore, the flow from non-bank sources more than made up for this dip.

Banks are also increasingly becoming retail oriented with corporate credit shifting to large well-run banks, especially PSBs. “We expect retail to outpace corporate credit growth in the coming years,” says Palviya.

Within retail, the banks are focusing on higher wallet share by way of fee income. Kalyan Brahmadevu, APART Research Associate at Savart, the wealth man-